IKEA GIFTING

Customer Analytics & RFM Segmentation

Power BI Dashboard Case Study

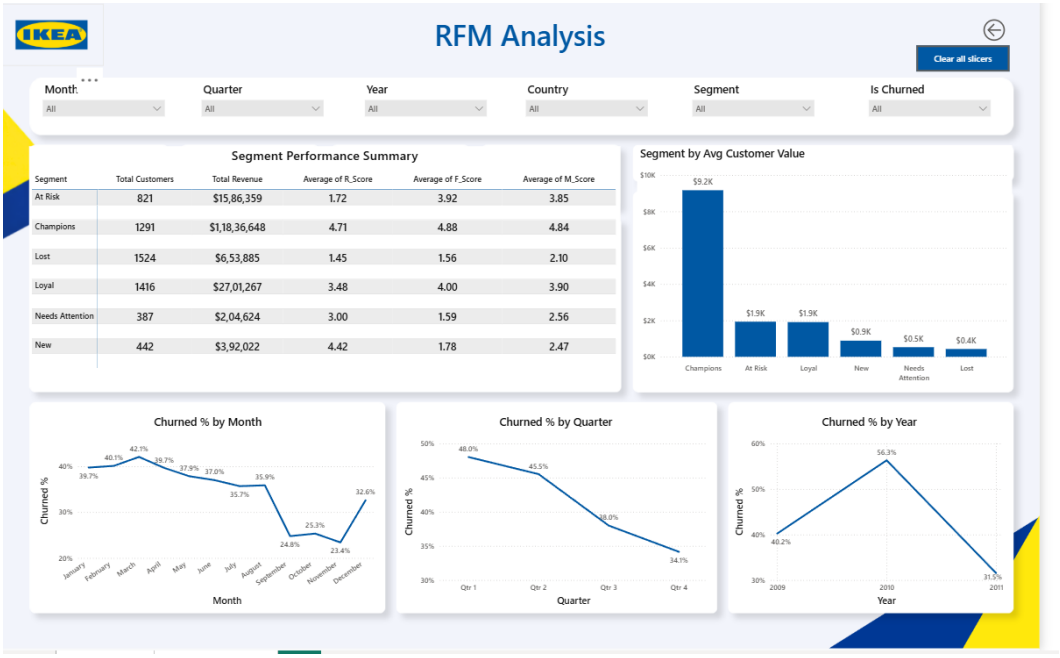
Prepared by Manish Kumar

Business Context

IKEA Gifting is a fictional gift retailer. The dashboard shows how much each group of customers spends and how many have stopped buying. Customers are grouped into six segments: Champions, Loyal, At Risk, New, Needs Attention and Lost. The Business Overview page shows headline numbers, revenue and customers by segment, and trends. The RFM Analysis page shows segment scores, average customer value and churn trends.



Business Overview



RFM Analysis

Problem Statement

The dashboard was built to help the business act on five problems:

1. **Revenue depends on one segment.** Champions produce 68.13% of revenue, so any drop in this group affects the business most.

2. **Half of the customers are inactive.** Churned % is 50.9%, and it is not clear which groups can still be brought back.

3. **Loyal customers are leaving.** 446 of the 1,416 Loyal customers are marked as churned.

4. **New customers do not come back.** New customers have recent purchases (R_Score 4.42) but a low F_Score of 1.78.

5. **Sales and churn vary across the year.** Revenue peaks in October and November, while churn changes sharply from month to month.

Dashboard Overview

Both pages share six slicers (Month, Quarter, Year, Country, Segment and Is Churned). The Business Overview page has a Revenue / Customer toggle that switches the segment and retention charts between sales value and customer counts. All screenshots were taken with every slicer set to All.

Term	Meaning on the dashboard
Total Customer	Number of customers, shown as 6K.
Total Revenue	Total sales across all customers, shown as $17M.
Churned %	Share of customers marked True in Is Churned, shown as 50.9%.
Avg Customer Value	Revenue per customer, shown as $3.0K.
R_Score	Recency score. Higher means the customer bought more recently.
F_Score	Frequency score. Higher means the customer buys more often.
M_Score	Monetary score. Higher means the customer spends more.

Key KPIs

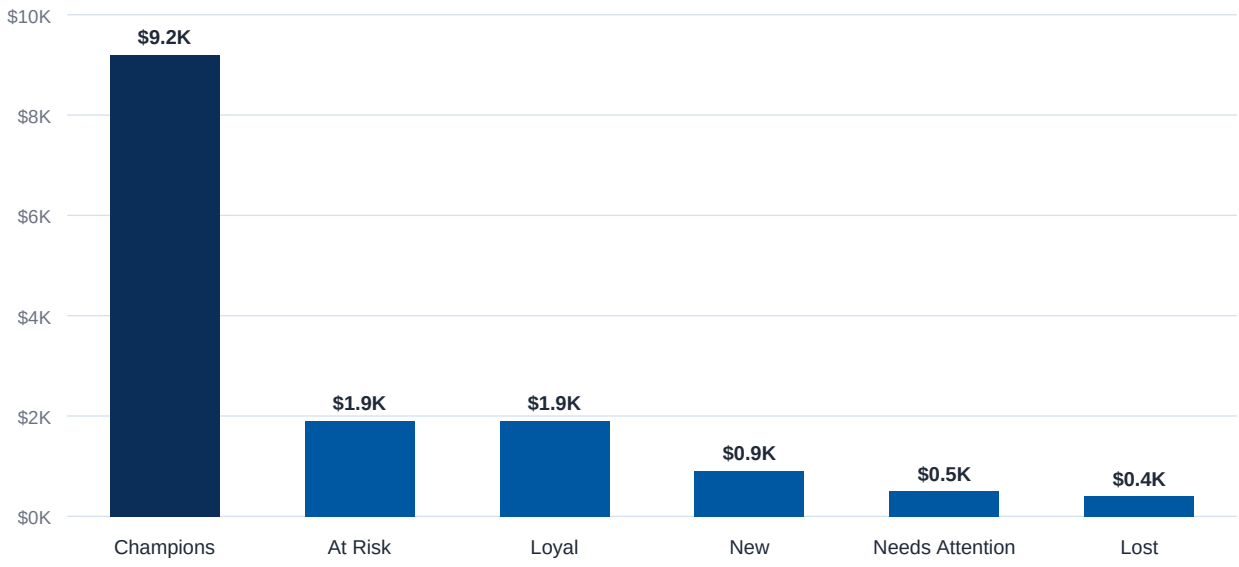
6K	$17M	50.9%	$3.0K
Total Customer	Total Revenue	Churned %	Avg Customer Value

Takeaway: Half of customers (50.9%) are marked as churned. The average value of $3.0K hides large differences between segments.

Segment Performance

Segment	Customers	Total Revenue	Avg R	Avg F	Avg M	Avg Value
Champions	1291	$1,18,36,648	4.71	4.88	4.84	$9.2K
Loyal	1416	$27,01,267	3.48	4.00	3.90	$1.9K
At Risk	821	$15,86,359	1.72	3.92	3.85	$1.9K
New	442	$3,92,022	4.42	1.78	2.47	$0.9K
Needs Attention	387	$2,04,624	3.00	1.59	2.56	$0.5K
Lost	1524	$6,53,885	1.45	1.56	2.10	$0.4K

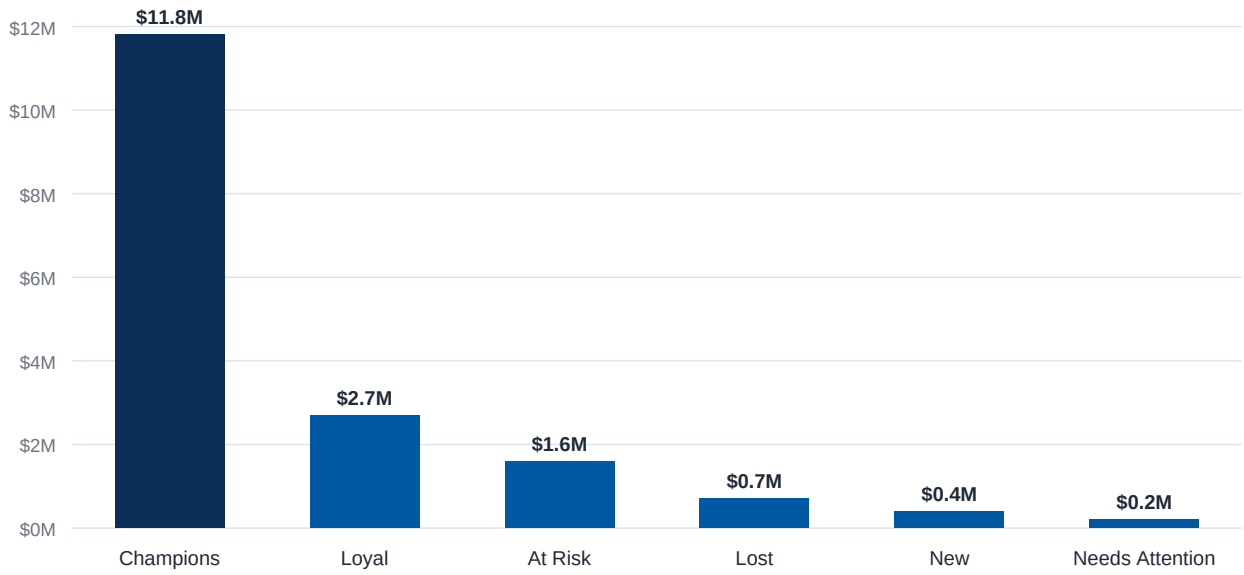
Average value per customer



Takeaway: Champions have the highest scores on all three measures and the highest value per customer ($9.2K).

Revenue by Segment

Total revenue by segment



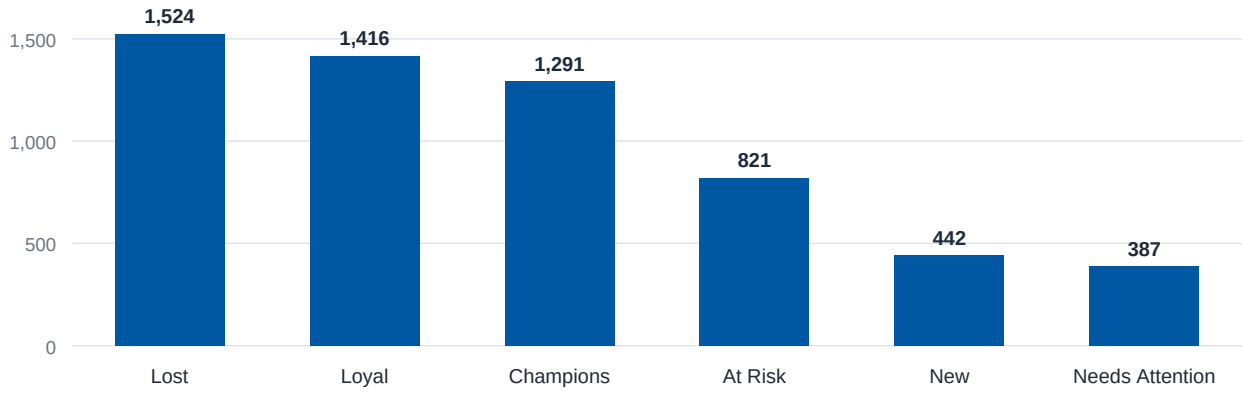
Revenue share (pie)

Slice	Value	Share
Champions	11.84M	68.13%
Smaller slice (segment not labelled)	1.65M	9.49%
Smaller slice (segment not labelled)	1.05M	6.06%
Smaller slice (segment not labelled)	1.59M	9.13%
Smaller slice (segment not labelled)	0.65M	3.76%

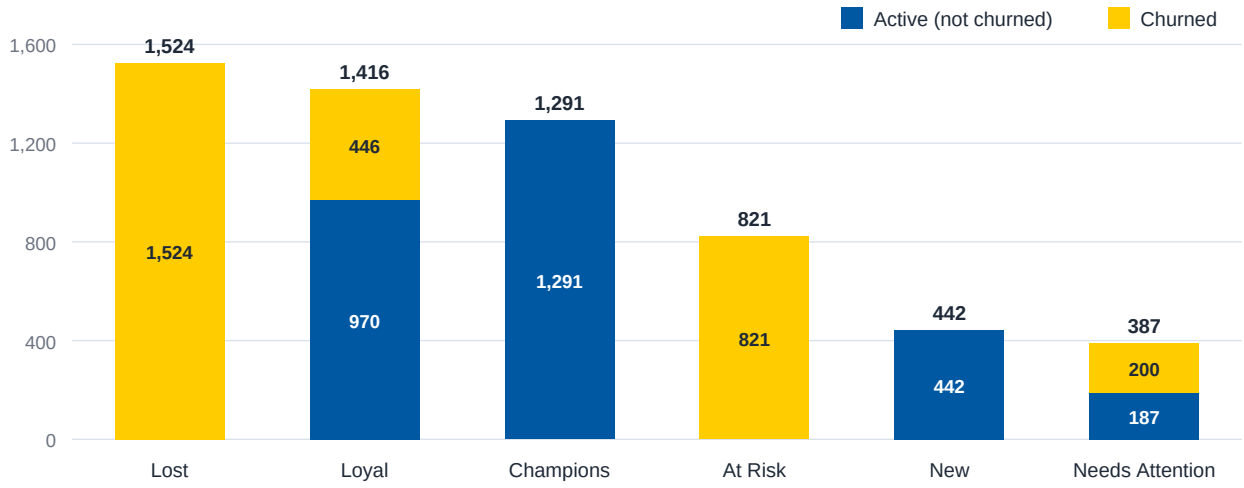
Takeaway: Champions produce 68.13% of revenue, so the business depends heavily on this one segment.

Customers and Churn

Total customers by segment



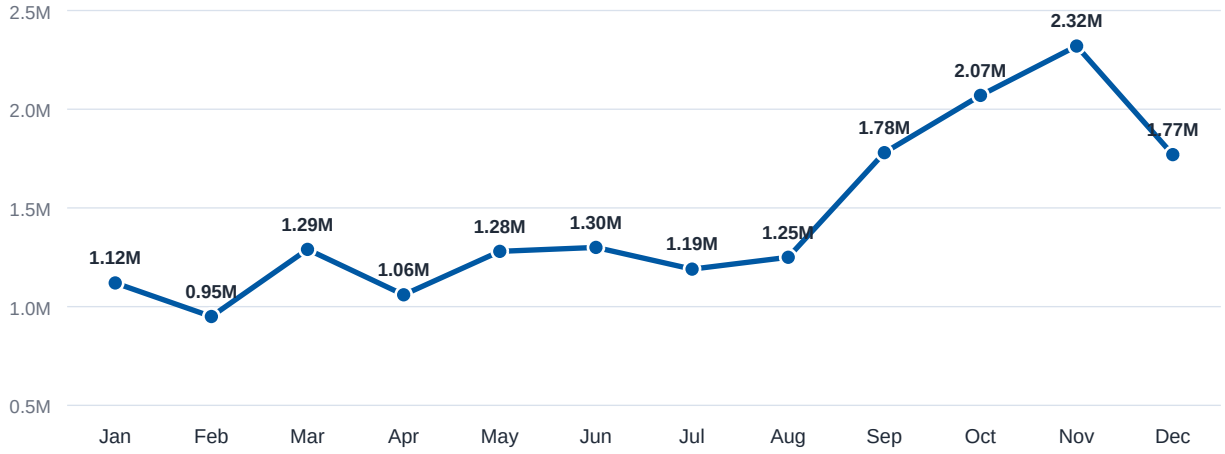
Active and churned customers



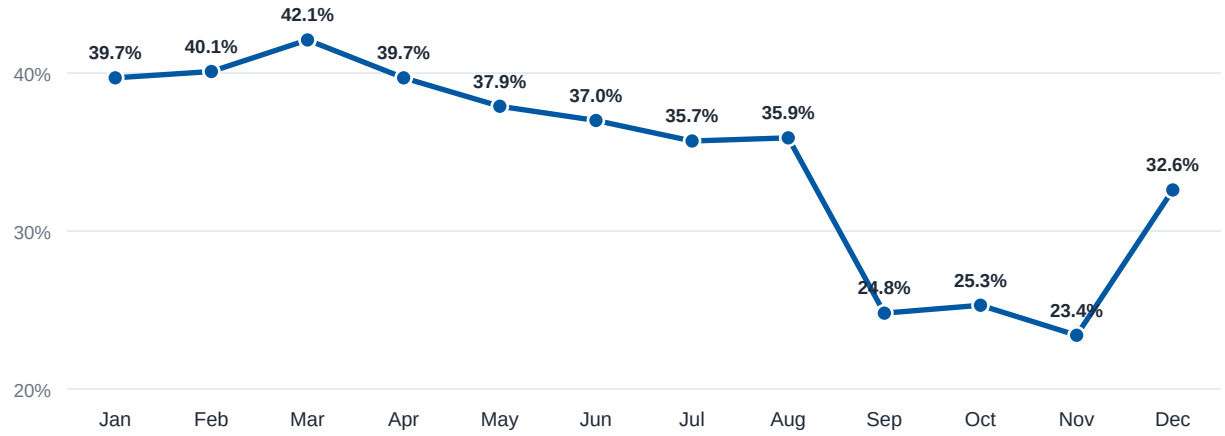
Takeaway: Lost and At Risk are fully churned. Loyal has 446 churned customers, the largest churned group after Lost.

Monthly Trends

Revenue by month (all years combined)



Churned % by month (all years combined)



Takeaway: Revenue peaks in October and November, while churned % is lowest in November (23.4%).

Quarterly and Yearly

By quarter (all years combined)

Quarter	Revenue	Customers	Churned %
Qtr 1	3.4M	2,747	48.0%
Qtr 2	3.6M	3,039	45.5%
Qtr 3	4.2M	3,160	38.0%
Qtr 4	6.2M	4,101	34.1%

By year

Year	Revenue	Customers	Churned %
2009	0.7M	1.0K	40.2%
2010	8.4M	4.2K	56.3%
2011	8.3M	4.2K	31.5%

Takeaway: Revenue rises every quarter and churn falls, reaching 34.1% in Qtr 4. 2009 covers only part of the year.

Key Observations

1. Champions hold $1,18,36,648 in revenue, 68.13% of the pie, and the highest average value at $9.2K.

2. Churned % is 50.9%. Lost (1,524) and At Risk (821) are fully churned. Loyal has 446 churned customers and Needs Attention has 200.

3. Loyal is the second-largest segment by revenue, with $27,01,267 from 1,416 customers.

4. New customers average an R_Score of 4.42 and an F_Score of 1.78.

5. Q4 is the strongest quarter at $6.2M. November ($2.32M) and October ($2.07M) are the strongest months.

6. Churned % falls from 42.1% in March to 23.4% in November, and from 48.0% in Qtr 1 to 34.1% in Qtr 4.

Recommendations

#	Recommendation	Reason
1	Keep Champions active and focus retention effort on this group first.	Highest revenue and value per customer
2	Start any win-back campaign with churned Loyal customers.	446 churned customers in a group of 1,416
3	Test reactivation offers on At Risk and Lost before spending widely.	821 and 1,524 customers, all churned
4	Build a second-purchase offer for New customers.	Recent buyers, but low frequency (F_Score 1.78)
5	Plan stock and promotions for October and November.	Highest revenue months ($2.07M and $2.32M)